Audit of Example Program Controls

Summary of Findings

The audit examined whether the Agency maintained adequate controls over its program funds during the period under review. We found that several controls were not applied consistently, and that the respon-
sibility for approvals was not clearly assigned to any single office in the Agency.

Auditors recommend that the Agency take the following steps:

1. Assign a single office to approve all program payments.
2. Reconcile the payment ledger monthly and keep the records.
3. Train staff on the revised approval procedure.

Other observations:

- Several files lacked a signed approval form.
- Receipts were stored in more than one location.

Corrective Action Plan

Corrective Action #1: The Agency will designate a payment approval office by the end of the next quarter and publish its name internally.

Corrective Action #2: The Agency will reconcile the payment ledger every month and retain the reconciliation for seven years.

Response Schedule

Item	Owner	Due
Approval	Finance	March 1
Ledger	Accounting	April 1

Conclusion

The Agency has agreed to implement the actions above. We will follow up on their status in twelve months.